Rajasthan Electricity Regulatory Commission, Jaipur

Petition No. RERC/ 2416/2026

Petition filed under Section 142 of Electricity Act 2003, for contravention of direction provided in Rajasthan Electricity Regulatory Commission (Terms and Conditions for Green Energy Open Access) Regulations, 2025 with respect to reduction in Contract Demand up to 50% of Captive Renewable Power Plant Capacity.

Coram:

Dr. Rajesh Sharma	**Chairman**
Shri Hemant Kumar Jain	**Member**
Shri Vijay Pal Singh	**Member**

Petitioner: M/s Shree Cement Limited.

Respondents: Jaipur Vidyut Vitran Nigam Ltd.

Date of hearing: **14.07.2026, 25.08.2026, 29.09.2026**

Present : Sh. Amarjit Singh, Representative for Petitioner.
Ms. Parinitoo Jain, Advocate for Respondent JVVNL

Order Date: **04.11.2026**

Order

1. M/s Shree Cement Limited (hereinafter also referred as "petitioner") is a Public Limited Company incorporated and registered under the provision of the Companies Act, 1956. It is engaged in the business of Cement manufacturing and Generation of power at various places in Rajasthan.

2. Jaipur Vidyut Vitran Nigam Ltd. (hereinafter also referred as "JVVNL" or Respondent) is a company carrying on the business of distribution and supply

of electricity in the area of supply mentioned in its license and having its registered office at Vidyut Bhawan, Janpath, Jyoti Nagar.

3. **Petitioner in its petition and during hearing(s) mainly made following submissions:**

3.1 The petitioner submitted that it is having a grinding unit located at Jobner which is a consumer of JVVNL having K. No. 211543000302 with a contract demand of 7.40 MVA. The petitioner is also having a captive solar plant of 7.08 MW within the premises of the above cement unit, commissioned on 27.03.2023.

3.2 The petitioner further submitted that Rajasthan Electricity Regulatory Commission vide its notification dated 21.05.2025 had notified RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025. As per the para 4 and 5 of Regulation 5 (ii) of the said regulation, a consumer may set up a captive renewable energy power plant with a capacity of up to 200% of its contract demand. But in case the capacity of captive renewable plant is beyond 100% and up to 200% of the contract demand, the consumer is required to install a Battery Energy Storage System (BESS). The BESS must have a minimum capacity equal to 20% of the energy generated from the additional renewable captive plant capacity exceeding 100% of the contract demand. For purpose of ease the relevant paras are reproduced hereunder:

> *"Provided further that maximum permissible capacity of individual new renewable energy based captive power plant including renewable energy based plant installed behind the meter shall be allowed upto 200% of the contract demand.*
>
> *Provided also that Renewable Energy based captive power plants having capacity above 100% contract demand and upto 200% of contract demand shall be required to install Battery Energy Storage System (BESS) for a minimum 20% of the energy generated by the additional capacity RE captive plant, i.e capacity beyond the 100% of the contract demand. This percentage of Energy to be stored may further be reviewed by the Commission through a separate order from time to time. The operation of such storage capacity shall*

be as directed by SLDC/Distribution Licensee through a separate order,"

3.3 The petitioner further submitted as per the above regulation, a consumer is permitted to set up captive renewable energy generation with a capacity of up to twice (200%) the contract demand. This is subject to the condition that for any capacity beyond 100% of the contract demand, the consumer must install a Battery Energy Storage System (BESS) sized to store at least 20% of the energy generated from the additional capacity.

3.4 The petitioner also submitted that as per Regulation 31 of the RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025, the provisions of the RERC Tariff Regulations, 2020 and the RERC Open Access Regulations, 2016 shall apply mutatis mutandis to the extent that they are not inconsistent with the GEOA Regulations or are not specifically addressed therein. For purpose of ease the relevant regulation is reproduced hereunder:

> *"31. Saving clause:*
>
> *The provisions of the RERC (Terms and Conditions for Tariff determination from Renewable Energy Sources) Regulations 2020 and RERC (Open Access) Regulations, 2016 which are not inconsistent with provisions under these Regulations or not covered under these Regulations or Procedure made hereunder shall be also applicable mutatis mutandis as part of these Regulations."*

3.5 The petitioner further submitted that from the above regulation, it is evident that the provisions of the RERC (Terms and Conditions for Tariff Determination from Renewable Energy Sources) Regulations, 2020 and the RERC (Open Access) Regulations, 2016, which are either not harmonized with or not incorporated into the RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025, will need to be revised or amended while ensuring that their fundamental objectives remain aligned with GOAR, 2025.

3.6 The petitioner further submitted that , subsequent to the notification of RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025, the petitioner vide its letter No SCL/JPR/SCL-59/5844 dated 07.01.2026 requested

JVVNL to reduce the contract demand of its grinding unit at Jobner from 7400 KVA to 3540 KVA and to install a Battery Energy Storage System (BESS) of capacity by virtue of proviso 4 of Regulation 5(ii) of RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025. Thereafter, JVVNL vide letter No. JPD/SE(C)/XEN/OA)/F/D. 1371 dated 02.02.2026, denied the said request on the basis that as it was not in accordance to the prevailing RERC Regulations.

3.7 The petitioner further submitted that, the view of the respondent i.e. JVVNL is against the provisions of the RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025 and thus, the petition is being filed under section 142 of Electricity Act, 2003.

3.8 The petitioner further submitted that the Regulation 92.1 of Rajasthan Electricity Regulatory Commission (Terms and Conditions for Tariff determination from Renewable Energy Sources) Regulations, 2020 provided that the maximum permissible capacity of eligible new renewable energy based captive power plants installed behind the meter shall be limited to 100% of the contract demand. For the purpose of ease Regulation 92.1 is reproduced hereunder:

> *" Renewable Energy Based Captive Power Plants*
>
> *92.1 The maximum permissible capacity of eligible individual new renewable energy-based captive power plant including renewable energy based plant installed behind the meter shall be limited to 100% of the Contract Demand.*
>
> *Provided that eligible co-located individual renewable energy based captive power plant shall utilize the same service line and installation for injection of power into the grid as well as drawal of power from the distribution licensee."*

3.9 The petitioner further submitted that Regulation 1.2 of the RERC (Terms and Conditions for Tariff determination from Renewable Energy Sources) Regulations, 2020 provided for its extent and commencement. In accordance to said regulation, these Regulation shall be applicable for

determination of tariff in cases covered under these Regulations from 1st April 2020 and onwards upto March 31, 2024. For purpose of ease, the Regulation 1.2 is reproduced hereunder:

> *'These Regulations shall extend to the whole of the State of Rajasthan. These Regulations shall be applicable for determination of tariff in cases covered under these Regulations from April 1, 2020 and onwards up to March 31, 2024*"

3.10 The petitioner further submitted that the second amendment to the above Regulations was notified on 08.12.2023 under the title 'Rajasthan Electricity Regulatory Commission (Terms and Conditions for Tariff determination from Renewable Energy Sources) (Second Amendment) Regulation, 2023. Regulation 1.2 of the RERC (Terms and Conditions for Tariff determination from Renewable Energy Sources) (Second Amendment) Regulation, 2023, stated that the regulations shall be applicable for determination of tariff in cases covered under these regulations from April 1, 2020 and onwards upto March 31, 2026. For purpose of ease Regulation 1.2 is reproduced hereunder:

> "*1.2 These Regulations shall extend to the whole of the State of Rajasthan. These Regulations shall be applicable for determination of tariff in cases covered under these Regulations from April 1, 2020, and onwards up to March 31, 2026.*"

3.11 The petitioner also submitted that Regulation 93.6 of Rajasthan Electricity Regulatory Commission (Terms and Conditions for Tariff determination from Renewable Energy Sources) (Second Amendment) Regulations, 2023, provided for applicability of banking regulation as notified under these regulation till 31.03.2030. For purpose of ease, regulation 93.6A is reproduced hereunder:

> *"93.6A The above provisions of the banking shall be applicable till 31.03.2030 to all existing projects as well as the projects getting commissioned upto 31.03.2026,"*

The Rajasthan Electricity Regulatory Commission on 21.05.2025 notified RERC (Terms and Conditions for Green Open Access) Regulations, 2025 which were published in Rajasthan Gazette on 17.07.2025.

3.12 The petitioner also submitted that proviso 4 of Regulation 5 (ii) of RERC (Terms and Conditions for Green Open Access Regulations, 2025 notified the capacity of Renewable based captive power plants with respect to the contract demand. For the purpose of ease, proviso 4 of the regulation 5(ii) is reproduced hereunder:

> *Provided further that maximum permissible capacity of individual new renewable energy based captive power plant including renewable energy based plant installed behind the meter shall be allowed upto 200% of the contract demand.*

3.13 The petitioner further submitted that the Hon'ble Supreme Court of India in Ashok Service and Centre & Another Etc Vs State of Orissa has dealt with the Latin legal phase Mutatis Mutandis'. For purpose of ease the same is reproduced hereunder:

> *"Earl Jowitt's The Dictionary of English Law (1959)' defines 'mutatis mutandis' as 'with the necessary changes in points of detail', Black's Law Dictionary (Revised 4th Edn. 1968) defines mutatis mutandis' as 'with the necessary changes in point of detail, meaning that matters or things are generally the same, but to be altered when necessary as to names, offices, and the like.*
>
> *Houseman v. Waterhouse, 191 App. Div, 850, 112 N.Y.S 249, 251, In Bouvier's Law Dictionary (3rd Revision, Vol. III, the expression 'mutatis mutandis' in defined as The necessary changes. This is a phrase of frequent practical occurrence, meaning that matters or things are generally the same, but to be altered when necessary, as to names, offices, and the like. Extension of an earlier Act mutatis mutandis to a later Act brings in the idea of adaptation, but so far only as it is necessary for the purpose, making a change without altering the essential nature of the thing changed, subject of course to express provisions made in the later Act.*

3.14 The petitioner submitted that, in accordance with Regulation 31 read with proviso 4 of Regulation and interpretation of the Latin Legal Maxion 'Mutatis Mutandis' the contention of Jaipur Discom is not in accordance of Regulation and petitioner has the right to reduce its contract demand to the extent of 50% of RE capacity by complying with the requirement of setting up BESS capacity.

3.15 The petitioner also submitted that it is a settled canon of statutory interpretation that regulations notified by the State Commission, being delegated legislation, have to be interpreted as statutes and each word of the said regulation have to be given a meaning and in no case, can any word be left redundant. However, in case the stand of the DISCOM is allowed to stand, the provisions of the para 4 and 5 of Regulation 5 (ii) of RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025 will be rendered redundant and otiose.

3.16 The petitioner also submitted that as per proviso 4 of Regulation 5 (ii) of RERC (Terms and Conditions for Green Open Access) Regulations, 2025, the maximum permissible capacity for a new captive power plant is up to 200% of the contracted demand. The Regulations do not specify any restriction, denying this right to existing behind the meter renewable energy-based captive power plants. The same is evident from the language used in proviso 4 of Regulation 5 (ii) of RERC (Terms and Conditions for Green Open Access) Regulations, 2025. Accordingly, consumers having behind the meter captive renewable energy power plants are permitted to reduce their contract demand up to 50% of the installed capacity of their renewable energy power plant.

3.17 The petitioner further submitted that the denial of the consumer's request for reduction of contract demand and installation of a Battery Energy Storage System, as provided under the RERC (Terms and Conditions for Green Energy Open Access) Regulations 2025, constitutes a contravention of the said Regulations and discourages consumers from enhancing their renewable energy capacity/selling up of BESS capacity. In such a situation, the petitioner is left with no alternative but to approach the Commission by filing the present petition under Section 142 of the Electricity Act, 2003, for contravention of the directions contained in the RERC (Terms and Conditions for Green Energy Open Access) Regulations. 2025.

3.18 In view of above said submission, the petitioner has prayed for:

a) Declare that the stance of the respondent on the subject is not in consonance with the provisions of RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025 and accordingly, permit the consumer to reduce its contract demand and install Battery Energy Storage System to comply with the RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025.

b) Initiate necessary proceeding for violation of Regulatory Provisions against the respondent in accordance with section 142 of Electricity Act, 2003.

4. **Written submission on the behalf of JVVNL on 20.07.2026**

4.1 Respondent submitted that the petitioner in the premises of grinding unit located at Jobner has installed 7080 KW behind the meter solar plant in their premises. It is submitted that the petitioner has reproduced two provisos of Regulation 5(ii). Further, a plain reading of the proviso clearly implies that behind the meter renewable energy captive plant is allowed only up to the contract demand.

4.2 Respondent submitted that the object of the saving clause is that where the present Regulations are silent, the Commission is empowered to apply the provisions of the Open Access Regulations 2016 or the Renewable Energy Tariff Regulations 2020. However, this incorporation is expressly subject to the condition that such provisions are not inconsistent with the present Regulations. Therefore the Commission cannot invoke this saving clause to override an express provision of the present Regulations or to import provisions that alter the regulatory scheme. Thus, the saving clause is an enabling and not an overriding clause. It rather fills the gaps and facilitates implementation, but it does not permit the Commission to bypass or modify the substantive provisions of the Regulations that specifically govern the issue.

4.3 Respondent further submitted that the petitioner is not entitled for the BESS capacity under Regulation 5(ii), because the proviso prescribes an upper limit on the generating capacity that a consumer can install. Further, the renewable energy plant installed behind the meter is also included with new renewable energy based captive power plant to ascertain the capacity of RE based power plant. It is pertinent to mention here that the installed capacity of RE plant cannot exceed 200% of the consumer's contract demand, for the captive plant connected to the grid, including RE plant installed behind the consumer's electricity meter. This proviso makes it clear that RE based power plant installed only under Open Access shall be capped up to 200% of CD, including behind the Meter plant. The Behind the meter RE based plant can be installed up to 100% of CD. Therefore, a consumer cannot argue that "since my plant is behind the meter, the limit does not apply."

4.4 The respondent also submitted that the petitioner has reproduced Regulation 92.1 of RERC (Terms and Condition for Tariff Determination for RE Sources) Regulations, 2020. Further, the language of proviso to Regulation 5 is different from Regulation 92.1 of Regulations, 2020. Therefore, the Regulation 5(ii) has to be read independently of Regulation 92.1. It is pertinent to mention here that the purpose of both the Regulations is different. As far as Regulation, 2025 is concerned, it is in respect of terms and conditions of green energy open access and Regulations 2020 are in respect of terms and conditions for tariff determination for RE Sources.

4.5 Respondent further submitted that it has been very clearly stated that the Regulations 2020 shall be applicable for determination of tariff in cases from 01.04.2020 to 31.03.2026. Further, the petitioner has partly reproduced Regulation 93.6A which provides for applicability of Banking Regulation. The petitioner has not correlated the reproduced Regulation with the issue involved. Thus, this provision has nothing to do with the issue in hand.

4.6 The Respondent also submitted that according to proviso 4 of Regulations 5,

it is clear that behind the meter RE plant is allowed only up to contract demand and therefore, the petitioner is not eligible for reduction of CD for installation of BESS on existing solar plant. Further, there is no ambiguity in proviso 4 & 5 of Regulation 5(ii) and therefore on plain reading of the proviso, the interpretation given by the Discom is justified.

4.7 The respondent further submitted that the maximum permissible capacity of individual new renewable based captive power plant including RE based plant installed behind the meter taken together shall be allowed up to 200% of the contract demand. There is no question of any reduction in the contract demand up to 50% of the RE based plant install behind the meter. Therefore, the petition deserves to be dismissed.

Commission view:

5. The Commission has considered the written submissions made by the parties in petition/reply and oral arguments during hearing(s).

6. The instant petition has been filed under Section 142 of the Electricity Act, 2003, seeking a declaration that the Respondent's refusal to permit reduction of the Petitioner's contract demand to 50% of the installed capacity of its 7.08 MW behind-the-meter renewable energy (RE)-based captive power plant at its Grinding Unit at Jobner, subject to installation of a Battery Energy Storage System (BESS), contravenes the fourth proviso to Regulation 5(ii) of the RERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025 (hereinafter referred to as the "GEOA Regulations, 2025"). The Petitioner accordingly seeks action against the Respondent under Section 142 of the Electricity Act, 2003, for the alleged regulatory contravention.

7. According to the Petitioner, the maximum permissible capacity of 200% of contract demand (CD), prescribed under the fourth proviso to Regulation 5(ii) of the GEOA Regulations, 2025, applies only to new RE-based captive power plants, and no corresponding restriction has been prescribed for existing

behind-the-meter RE-based captive power plants. On this basis, the Petitioner contends that the Respondent's refusal to permit reduction of its CD to 50% of the plant's installed capacity contravenes the said provision. The Respondent, on the other hand, submits that the 200% limit applies to new captive power plants under the open access regime, including behind-the-meter plants, whereas the permissible capacity of existing behind-the-meter captive power plants is limited to 100% of CD. The Respondent accordingly contends that the proposed reduction in CD, subject to installation of BESS, is not permissible.

8. The Petitioner further submits that the proposed reduction in CD is permissible under the saving clause contained in Regulation 31 of the GEOA Regulations, 2025. The Petitioner relies on the mutatis mutandis application of the provisions of the RERC (Open Access) Regulations, 2016, and the RERC (Terms and Conditions for Tariff Determination from Renewable Energy Sources) Regulations, 2020, to the extent that such provisions are not inconsistent with the GEOA Regulations, 2025, or relate to matters not covered by those Regulations or the procedure made thereunder. The Respondent, in contrast, contends that the saving clause is intended to fill gaps and facilitate implementation of the GEOA Regulations, 2025, and cannot be invoked to override, modify or alter their substantive provisions.

9. The Petitioner's case is that, although the fourth proviso expressly refers to new captive power plants, the 200% limit is also available to existing plants governed by the RERC (Open Access) Regulations, 2016, and the RERC (Terms and Conditions for Tariff Determination from Renewable Energy Sources) Regulations, 2020, under which earlier captive capacity was restricted to 100% of contract demand. Relying on the mutatis mutandis application contemplated under Regulation 31, the Petitioner contends that it may reduce its contract demand to 50% of it's behind the meter captive plant's installed capacity, subject to compliance with the BESS requirement. The issue therefore requires examination of the scope of the fourth proviso, its

applicability to existing captive plants, and the extent to which Regulation 31 permits the earlier regulatory provisions to operate consistently with the GEOA Regulations, 2025.

10. The Commission observes that the GEOA Regulations, 2025, contain express provisions concerning both new and existing RE-based captive power plants including behind the meter plants. Admittedly, the Petitioner's captive power plant is an existing plant. In respect of existing consumers and generators, the Regulations expressly provide for a one-time conversion of their existing behind the meter captive plants to Green Energy Open Access regime. The relevant regulation of GEOA Regulations 2025 is reproduced below:

> *"7. Treatment for existing Consumers:*
>
> *The existing consumer(s)/generators may continue to avail the RE under open access as per the existing agreements or government policy for the period specified in those agreements or policies.*
>
> *Provided that the existing consumers/generators shall continue to pay the applicable charges as specified in their respective agreements or as may be determined by the Commission from time to time. Provided further that Green Energy Open Access for the period subsequent to their respective agreements in respect of such consumer(s)/generator(s) shall be governed by provisions of these Regulations.*
>
> *Provided also that if Open Access for any additional RE capacity is sought by such existing consumer(s)/generator(s) in addition to the capacity already contracted under open access, the same shall be treated as a new application for Green Energy Open Access to the extent of additional capacity sought.*
>
> *Provided also that the existing consumers/generators shall be eligible to convert their existing RE based open access agreements under the Green Energy Open Access for the remaining validity of their existing agreements on a one-time basis and shall be governed by the provisions of these Regulations."*

11. The Commission is of the view that the GEOA Regulations, 2025, provide a complete framework for new behind-the-meter RE-based captive power plants and for existing plants seeking to migrate to the Green Energy Open Access regime. The Regulations expressly provide a one-time opportunity for existing consumers/generators to convert their existing RE-based plants, upon which they shall be governed by the GEOA Regulations, 2025. Since

such migration is expressly addressed, recourse to the mutatis mutandis application of the RERC (Open Access) Regulations, 2016, under Regulation 31 of the GEOA Regulations does not arise for this purpose. The Petitioner's contention in this regard is therefore misplaced.

12. Further, existing behind-the-meter RE-based captive power plants seeking to avail themselves of the benefits of the GEOA regime, including the permissible capacity of up to 200% of contract demand for open access, must exercise the prescribed option for conversion and comply with the applicable conditions of the GEOA Regulations, 2025, including the BESS requirement. Plants that do not opt for conversion shall continue to be governed by their existing agreements and policies of the earlier regime. Accordingly, if the Petitioner seeks to avail itself of the permissible captive capacity of up to 200% of contract demand, it must first migrate to the GEOA regime through the prescribed conversion mechanism and fulfil the applicable regulatory requirements. It cannot claim this benefit while continuing under the earlier regime, under which captive capacity was restricted to 100% of contract demand.

13. The Commission further notes that the same issue was raised by stakeholders during the public hearings on the procedure for implementation of the GEOA Regulations, 2025. In its order dated 12.12.2025, the Commission clarified the position regarding existing RE-based captive power plants. The relevant paragraphs of the said order are reproduced below:

> *"58. Some stakeholders have requested further clarity regarding the applicability of the Green Energy Open Access (GEOA) Regulations to existing open access arrangements, particularly in situations where consumers having subsisting open access agreements wish to migrate to the new GEOA framework, and existing captive open access consumers propose to install additional renewable energy capacity, including in cases where such additional capacity may exceed their Contract Demand. 59. The Commission observes that all such situations are comprehensively addressed under Regulation 7 of the GEOA Regulations, however, for the avoidance of any ambiguity, the Commission considers it appropriate to elaborate the regulatory position. For sake of clarity Regulation 7 of GEOA Regulations is reproduced hereunder:*

"7. Treatment for existing Consumers: The existing consumer(s)/generators may continue to avail the RE under open access as per the existing agreements or government policy for the period specified in those agreements or policies.

Provided that the existing consumers/generators shall continue to pay the applicable charges as specified in their respective agreements or as may be determined by the Commission from time to time. Provided further that Green Energy Open Access for the period subsequent to their respective agreements in respect of such consumer(s)/generator(s) shall be governed by provisions of these Regulations.

Provided also that if Open Access for any additional RE capacity is sought by such existing consumer(s)/generator(s) in addition to the capacity already contracted under open access, the same shall be treated as a new application for Green Energy Open Access to the extent of additional capacity sought.

Provided also that the existing consumers/generators shall be eligible to convert their existing RE based open access agreements under the Green Energy Open Access for the remaining validity of their existing agreements on a one-time basis and shall be governed by the provisions of these Regulations."

60. In view of above the Commission would like to note that once the validity period of any existing agreement expires, any further open access sought by such consumers shall mandatorily fall under, and be governed by, the GEOA Regulations. The regulatory framework does not permit extension or renewal of the earlier open access arrangements under the pre-existing regime beyond their originally stipulated validity period.

61. The Commission further clarifies that where an existing consumer, who still has remaining validity under an earlier open access agreement, seeks additional renewable energy capacity, then in that case two distinct conditions arise as below:

(a) In situations where the aggregate of the previously contracted capacity and the proposed additional capacity remain within the consumer"s Contract Demand, only the additional capacity sought is required to be applied for and processed under the GEOA Regulations. In such cases, the earlier contracted capacity will continue to be governed by the terms of the original agreement for its remaining validity period, whereas the incremental capacity alone will be governed by the GEOA framework. This ensures regulatory continuity while also facilitating the phased transition to the new GEOA mechanism.

(b) However, where the total capacity, comprising both the existing contracted capacity and the additional capacity sought, exceeds the consumer"s Contract Demand, the regulatory treatment changes fundamentally. Under the earlier regulatory regime, captive capacity in excess of Contract Demand was not permissible; such enhancement has

been allowed only under the GEOA Regulations. Therefore, any application involving capacity beyond the consumer"s Contract Demand must necessarily be processed entirely under the GEOA framework. Allowing such a case to continue partly under the earlier arrangement would result in a clear inconsistency with, and violation of, the regulatory provisions applicable during the respective control period. Consequently, in all such cases, the consumer is required to submit a fresh application under GEOA for the entire capacity.

62. Additionally, the Commission emphasizes that regulation 7 provides a one-time opportunity for all existing consumers and generators to voluntarily migrate their existing RE-based open access agreements into the GEOA framework for the remainder of their agreement period. Upon exercising this option, the entirety of their open access arrangement, irrespective of remaining tenure, shall thereafter be governed exclusively by the provisions of the GEOA Regulations. This one-time migration provision ensures a smooth and orderly transition for consumers wishing to adopt the new regime without waiting for the expiry of their existing agreements."

14. The second issue concerns whether the fourth proviso to Regulation 5(ii) of the GEOA Regulations, 2025, which permits captive generating capacity of up to 200% of contract demand, can be relied upon to seek a reduction in contract demand without installing any additional RE-based captive generating capacity under open access. The Petitioner interprets the proviso to mean that, since its existing behind the meter captive plant capacity is presently equal to its contract demand, it may reduce its contract demand by half, thereby making the unchanged behind the meter captive plant capacity equivalent to 200% of the revised contract demand. In simple words the Petitioner does not propose to install any new or additional RE-based captive generating capacity under open access. Instead, it seeks to achieve the benefit with respect to prescribed capacity-to-contract-demand ratio by reducing its contract demand, with a consequent reduction in fixed charges. The question requiring examination is therefore, for the existing plants, whether the fourth proviso prescribes to achieve the maximum permissible captive generating capacity of 200% in relation to contract demand by installing new RE capacity, or confers an entitlement to the existing plants to reduce contract demand so as to bring an existing plant within that ratio.

15. The Commission observes that, in interpreting a regulatory provision, its text must be considered in the context of its object and purpose, as reflected in the Explanatory Memorandum and the Statement of Reasons. The GEOA Regulations, 2025, notified on 21.05.2025, seek to accelerate the State's transition to clean energy and align it with the national renewable energy targets set by the Government of India. Accordingly, to ascertain the scope, object and intent of the fourth proviso to Regulation 5(ii), the relevant extracts from the Explanatory Memorandum accompanying the draft Regulations, the Statement of Reasons for the notified Regulations, and the Commission's order concerning the procedure for their implementation are reproduced below respectively:

16. Relevant paras from the Explanatory Memorandum:

"*RAJASTHAN ELECTRICITY REGULATORY COMMISSION, JAIPUR*

Draft Rajasthan Electricity Regulatory Commission (Terms and Conditions for Green Energy Open Access) Regulations, 2024.

Explanatory Memorandum

1. ***The Government of India has set a target of non-fossil energy capacity of 500 GW by 2030, out of which 280 GW is expected to be the share of solar power. India has a target of 5 million ton a year of green hydrogen capacity by 2030. By the year 2070, India has a target to achieve Net Zero Carbon Emissions i.e. Carbon Neutral.***

……..

3. The Ministry of Power, Government of India, has notified Electricity (Promoting Renewable Energy Through Green Energy Open Access) Amendment Rules, 2023 and Electricity (Promoting Renewable Energy Through Green Energy Open Access) (Second Amendment) Rules, 2023 on 27.01.2023 and 23.05.2023 respectively, by way of which certain recommendations of the FOR were taken into consideration to align the Green Energy Open Access Rules. 2022 with the Electricity Act 2003 and National Tariff Policy 2016. Collectively Green Energy Open Access Rules, 2022, along with First and Second amendment thereto would hereinafter be referred to as Rules. Salient features of the Rules are as below:

a. It aims to promote the generation, purchase, and consumption of green energy, including energy from Waste-to-Energy plants.

……

……..

4. As per Section 86 (1) (e) of the Electricity Act. 2003 ('EA 2003" or "the Act"), the State Electricity Regulatory Commissions (SERCS or Commissions) have been assigned the function of promoting generation of electricity from renewable sources of energy by providing suitable measures for connectivity with the grid and sale of electricity to any person. In order to promote generation from Renewable Energy (RE) sources in the State of Rajasthan, the Commission has notified the RERC (Terms and Conditions for Tariff Determination from Renewable Energy Sources) Regulations, 2020, the RERC (Renewable Purchase Obligation) Regulations, 2023, the RERC (Grid Interactive distributed Renewable Energy Generating Systems) Regulations, 2021 and RERC (Forecasting, Scheduling, Deviation Settlement and Related Matters of Solar and Wind Generation Sources) Regulations, 2017. The Commission also notified the RERC (Terms and Conditions for Open Access) Regulations. 2016."

17. Relevant paras of the SOR dated 21.05.2025 are reproduced below:

"28. Several stakeholders during the hearing submitted that the State Govt has issued the ***'Rajasthan Integrated Clean Energy Policy 2024' where several promotional measures have been included regarding storage and capacity limits for Green Hydrogen/Green Ammonia Plants. They requested that similar provisions be included in the Regulations. Some stakeholders have requested to raise the individual plant size to 200% of the contract demand. We have carefully considered the comments of the stakeholders and, accordingly, suitably incorporated the following provisos below the*** *existing second proviso to regulation 5.ii:*

> *"Provided also that new RE projects on the STU network (excluding hydro projects) with an installed capacity of over 5 MW or as may be specified by the Commission will be mandated to install ESS (of at least 2 hours storage) for a minimum of 5% of the RE capacity. Provided also that maximum permissible capacity of individual new renewable energy based captive power plant including renewable energy based plant installed behind the meter shall be allowed upto 200% of the contract demand. Provided also that Renewable Energy based captive power plants having capacity above 100% contract demand and upto 200% of contract demand shall be required to install Battery Energy Storage System (BESS) for a minimum 20% of the energy generated by the additional capacity RE captive plant, i.e., capacity beyond the 100% of the contract demand. This percentage of Energy to be stored may further be reviewed by the Commission through a separate order from time to time. The operation of such storage capacity shall be as directed by SLDC/Distribution Licensee through a separate order. Provided also that for the associated Green Hydrogen/Ammonia plant the peak power generation capacity of wind/solar/hybrid plant (with or without storage facility) shall be allowed as per the State Govt. Policy"."*

18. The relevant paras of the order of the Commission dated 12.12.2025 in the proceedings of GEOA procedure are reproduced below:

> *"138. Before parting with this order, the Commission would like to state that a majority of the stakeholders have sought clarity, in one form or another, on issues relating to the permissible captive capacity up to 200% of the Contract Demand, the requirement of Battery Energy Storage Systems (BESS), banking provisions, settlement mechanisms, and related procedural matters. Although the GEOA Regulations and the present Procedure adequately address all such aspects, the Commission again reiterate the underlying intent* ***that the ceiling of 200% of the Contract Demand for captive renewable energy capacity is prescribed with the objective of promoting renewable energy deployment in the State.*** *It is, however, the responsibility of the consumer or developer to make a scientific, prudent and financially sound assessment of the capacity they intend to install, strictly in accordance with the applicable regulations and procedural requirements in an optimized manner for this being their commercial and financial decision based on their own analysis consumption profile and cost benefit expectations."*

19. From the aforesaid, the Commission observes that the regulatory intent was to promote the generation, purchase and consumption of renewable energy in the State of Rajasthan and support the national objective of achieving 500 GW of non-fossil fuel capacity by 2030. The enhancement of the permissible capacity of RE-based captive power plants including the behind the meter RE plants from 100% to 200% of contract demand was intended to facilitate greater adoption of renewable energy. At the same time, to address the associated technical constraints and maintain grid stability, the Regulations require installation of BESS for a minimum of 20% of the energy generated by the additional capacity exceeding 100% of contract demand. These provisions thus seek to balance the promotion of renewable energy with the technical requirements of the grid and the interests of stakeholders.

20. In the present case, the Petitioner does not propose to install any additional RE-based captive generating capacity. Instead, it seeks to reduce its contract demand by half, thereby making its unchanged captive plant capacity equivalent to 200% of the revised contract demand and reducing its liability towards fixed charges. Acceptance of this interpretation would permit the Petitioner to claim the benefit of the enhanced capacity limit without any

corresponding addition to RE-based captive generating capacity. In the Commission's view, this would not advance the purpose for which the enhanced limit was introduced. The fourth proviso to Regulation 5(ii) was intended to facilitate additional RE-based captive capacity, subject to the prescribed BESS requirement, and not to confer an entitlement to reduce contract demand merely to obtain a reduction in fixed charges. Accordingly, the Petitioner's contention is inconsistent with the object and intent of the GEOA and cannot be accepted.

21. The Commission agrees with the submissions of the DISCOMs that the fourth proviso to Regulation 5(ii) read with applicable RE Tariff Regulations permits a behind-the-meter renewable energy (RE) plant only up to the consumer's contract demand (CD). The Commission holds that the fourth and fifth provisos to Regulation 5(ii) are unambiguous and that, on a plain reading, the interpretation adopted by the DISCOMs is justified.

22. The Commission further notes that the Petitioner also participated as a stakeholder in the public hearings on the procedure for implementation of the GEOA Regulations, 2025, and made the same suggestion concerning reduction of contract demand to 50%. The Commission considered the suggestion and decided not to incorporate it into the procedure, as recorded in its order dated 12.12.2025. The Petitioner was thus aware that the issue had previously been raised and considered by the Commission. However, the Petitioner did not disclose these material facts in the present petition. In the Commission's view, such non-disclosure amounts to suppression of facts material to the adjudication of the present issue, and the Petitioner has therefore not approached the Commission with clean hands. The relevant paragraph of the Commission's order dated 12.12.2025 is reproduced below:

> *"Comments received:*
>
> *30. The stakeholders have mainly submitted as follows:*
>
> .....

30.4 In Clause 5.2, the capacity of a new captive renewable energy power plant may be installed up to 200% of the consumer's contract demand. Furthermore, ***a consumer who has already installed a behind-the meter solar power plant with capacity equivalent to its contract demand may reduce its contract demand to 50% of the solar plant's capacity****."*

23. In view of the foregoing discussion, the Commission finds that the prayers of the Petitioner are devoid of merit and cannot be granted. Accordingly, the petition is dismissed.

24. The petition is disposed in above terms.

(Vijay Pal Singh)	(Hemant Kumar Jain)	(Dr. Rajesh Sharma)
Member	Member	Chairman